TOURISM

SIZE (2019-20)

$75 billion

(₹5.5 LAKH CRORE)

NO. OF JOBS

39 million

Impact Travel bans, Covid fears keeping tourists away

What can bring relief Boosting domestic tourism, creating better infrastructure

AVIATION

SIZE (2019-20)

$20 billion

(₹1.4 LAKH CRORE)

NO. OF JOBS

66,900

Impact Poor business leading to cancelled flights

What can bring relief The airlines want govt to set standards on air traffic movement and capacity utilisation, remove fare caps, lower duty on jet fuel

RETAIL

SIZE (2019-20)

$779 billion

(₹57.6 LAKH CRORE)

NO. OF JOBS

43 million

Impact Sales see dip as shoppers keep away amid Covid scare, curfews

What can bring relief Ensuring no ad hoc curbs

MSMEs

SIZE (2019-20)

63.4 million units

NO. OF JOBS

120 million

Impact Already hurt by high input costs; rising cases could impact worker health

What can bring relief Monitoring raw material prices, extending government-backed loan schemes

and medium scale enterprises) segment. India's MSMEs account for 45 per cent of manufacturing output, 40 per cent of exports and employ about 120 million people. In addition to the pandemic and the demand crunch, most MSMEs have been impacted by high raw material and transportation costs as commodity prices shot up globally. The third wave could push many of them deeper into the red. Their workforce too will be affected more, especially since they tend to live in crowded camps. According to traders' body Confederation of All India Traders, MSMEs and other traders in 36 Indian cities suffered a 45 per cent average loss in business during the first week of 2022 due to regulations by state governments and local authorities. Around 35 per cent of the decline was in FMCG, 45 per cent in electronics, 50 per cent in mobile phone sales, 60 per cent in footwear and so on. Business during the wedding season (October-March) is expected to drop to Rs 1.25 lakh crore from an expected Rs 4 lakh crore.

However, these issues are not limited to small industries alone. "The big challenge this time, given the spread of the virus, is higher absenteeism. It's already happening," says Deepak Jain, CMD of Gurugram-based Lumax Industries, a large auto component manufacturer. "The past two years have taught us the need to have a robust risk mitigation system in place," he adds. While most firms have adopted a hybrid model, companies like Reliance Industries (RIL) have told all their staff, except for those at their refineries, manufacturing sites or retail outlets, to work from home.

Companies that are largely unaffected include the online start-ups. India added 42 unicorns (start-ups with over $1 billion or Rs 7,400 crore in valuation) in calendar year 2021, a nearly four-fold leap from just 11 unicorns added in 2020.

MITIGATING THE PAIN

While there is no escaping the virus, the industry and experts advocate several policy measures that can mitigate the pain (see accompanying story, *Wanted: A Healing Touch*). The government needs to support the vulnerable, be it the poor or the small industries and retail segments that are the most impacted by Covid. "Contact-based industries need help, so do the urban poor," says D.K. Joshi, chief economist with Crisil. Potential beneficiaries of an urban jobs guarantee scheme, the clamour for which is getting louder, can be identified through the government's e-Shram portal where already 200 million people have registered, he adds. There is also a call to extend the Emergency Credit Guarantee Scheme for MSMEs, that allows them government-backed loans beyond March. Investing in infrastructure will create a multiplier effect. But it is not just about allocating funds, execution capacity too needs to be beefed up. Hotel owners under the Hotel and Restaurant Association of Western India have demanded succour to their staff in the form of a direct salary transfer scheme in addition to waiving statutory fees, taxes and utility bills.

CII's Narendran says hospitality and travel-related sectors and infrastructure construction will need assistance, and continuing the performance-linked incentive scheme that targets 13 key sectors will be key to industry revival. Despite two years of disruptions, India's economy has proved to be resilient, bouncing back from deep distress and emerging stronger. Although this is not the case for all industrial sectors, some of which are still in need of targeted succour, it offers reason for optimism that the country will come out quickly from the third wave impact as well. ■